Sector Underwriting Note: Pharma Packaging

ASHVA CAPITAL CREDIT POLICY MANUAL
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SECTION 8.14: SECTOR UNDERWRITING NOTE — PHARMACEUTICAL PACKAGING SMEs

8.14.1 Scope & Applicability This underwriting note governs all direct balance-sheet lending, term loans, and working capital facilities extended to Small and Medium Enterprises (SMEs) engaged in primary, secondary, and tertiary packaging manufacturing for the pharmaceutical industry. Applicable NACE/SIC codes include primary blister foil convertors, high-density polyethylene (HDPE) bottle blow-molders, glass vial convertors, and specialized printed carton manufacturers.

8.14.2 Maximum Sector Portfolio Exposure Cap 1. Total Book Limit: The aggregate exposure to the Pharmaceutical Packaging SME sector shall not exceed 6.5% of Ashva Capital’s total outstanding loan book at any point in time. 2. Single Borrower Group Cap: Exposure to a single borrower group in this sector is capped at 0.8% of the total loan book or INR 180,000,000, whichever is lower. 3. Breach Protocol: If sector exposure reaches 6.0%, underwriters must escalate all new applications to the Chief Credit Officer. Applications received after reaching the 6.5% cap shall be automatically declined without credit review.

8.14.3 Working Capital Cycle Baseline (118 Days) Underwriters shall benchmark cash conversion models against a standard sector working capital cycle of 118 days, broken down as follows:

* Raw Material Inventory (Polymer granules, aluminum foil, specialty paperboard): 35 days.
* Work-In-Progress (WIP) & Cleanroom Quarantine Hold: 18 days.
* Finished Goods Hold (Awaiting client Quality Assurance release): 20 days.
* Receivables Realization (Debtors): 45 days.

Mandatory Adjustment: If an applicant’s historical Receivables Realization exceeds 65 days, the underwriter must apply an automatic 15% haircut to the eligible borrowing base for working capital line calculations.

8.14.4 Sector-Specific DSCR Floor 1. Minimum DSCR Floor: 1.35x (Calculated as EBITDA / [Annual Interest + Scheduled Principal Repayments]). * *Note:* This replaces Ashva Capital’s standard baseline DSCR floor of 1.25x. The higher threshold reflects non-negotiable operational risks associated with client plant audit delays and batch rejection downtime. 2. Stressed DSCR Threshold: Under a simulated 12% revenue drop and a 200 bps increase in variable input costs (raw polymer/foil prices), the stressed DSCR must not fall below 1.12x.

8.14.5 Seasonality Adjustments & Liquidity Buffers Pharma packaging cash flows exhibit structural seasonal troughs between January 1 and March 31 (Q1) due to client annual maintenance shutdowns, drug master file (DMF) updates, and mandatory ISO 15378 cleanroom re-validations.

1. Q1 Revenue Haircut: Underwriters shall apply a 15% revenue reduction to historical Q1 baseline cash flow projections when sizing debt service capacity.
2. Debt Service Reserve Account (DSRA): Borrowers are required to build a dedicated DSRA equivalent to 60 days of principal plus interest between October 1 and November 30 each year. This reserve shall remain locked in an escrow account with Ashva Capital until April 30 of the following year.

8.14.6 Primary Causes of Sector Distress Underwriters must evaluate and document specific mitigation for the two most prevalent drivers of default in this sector:

1. Batch Contamination & Regulatory Suspension (Cleanroom Integrity Failure):
* *Driver:* Failure to maintain ISO Class 7 or Class 8 cleanroom standards leads to particulate/microbial contamination, resulting in immediate product recalls, customer WHO-GMP audit failures, and 60-to-180-day operational suspension.
* *Required Assessment:* Verification of continuous environmental monitoring logs for the preceding 12 months and proof of active Product Contamination / Recall Liability Insurance with a minimum cover of INR 50,000,000.
2. Client Concentration Shock & Formulation Shift:
* *Driver:* High dependence on a limited number of pharmaceutical formulation manufacturers. The loss of a key client or a client's transition to alternative delivery systems (e.g., shifting from blister packs to pre-filled syringes) eliminates revenues faster than fixed overheads can be reduced.
* *Required Assessment:* Enforce concentration limits per Clause 8.14.8.

8.14.7 Acceptable Collateral Types & LTV Limits

Collateral Category	Specific Acceptable Assets	Maximum LTV Limit	Valuation Requirements
Class A	High-precision cleanroom machinery (e.g., German/Japanese injection blow-molding machines, cold-form blister lines) under 7 years of age.	65%	Liquidation value based on an independent appraisal from an Ashva-approved empaneled engineer.
Class B	Trade Receivables from Tier-1 formulation exporters holding active USFDA or EU-GMP approvals, aged < 60 days.	80%	Subject to direct tri-party escrow or notice of assignment.
Class C	Freehold industrial land and buildings housing certified ISO 15378 cleanroom facilities.	70%	Lower of two independent valuations.

Strictly Unacceptable Collateral:
* Inventories of custom-printed foil, custom-debossed cartons, or client-branded blister films (Zero realizable scrap value; mandatory 100% haircut).
* Machinery older than 10 years or machinery located outside certified cleanroom environments.

8.14.8 Summary of Mandatory Numeric Thresholds

Underwriters shall verify that the candidate transaction complies with all mandatory parameters listed in Table 8.14.A. Any deviation requires formal Credit Risk Committee approval with explicit concurrence from the Chief Credit Officer.

Table 8.14.A: Key Sector Threshold Checklist

Parameter Ref	Underwriting Parameter	Mandatory Value / Limit	Action on Breach
TH-01	Sector DSCR Floor	≥ 1.35x	Immediate Rejection
TH-02	Stressed DSCR (Sensitivity Case)	≥ 1.12x	Immediate Rejection
TH-03	Max Single Customer Revenue Concentration	≤ 28.0% of gross sales	Escalate to CCO if 28.1%–39.9%; Decline if ≥ 40.0%
TH-04	Working Capital Cycle Baseline	118 Days	Apply 15% line haircut if Receivables > 65 days
TH-05	Minimum Cleanroom Certification History	36 Months continuous ISO 15378 status	Immediate Rejection
TH-06	Max Equipment LTV (Class A Collateral)	65.0%	Reduce loan quantum to meet LTV cap
TH-07	Max Total Sector Book Allocation	6.5% of total loan portfolio	Freeze new origination upon reach
TH-08	Minimum DSRA Reserve Requirement	60 Days debt service (Nov 15–Apr 30)	Mandatory Loan Condition Covenant

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